



The Directors are pleased to announce the audited financial results for the year ended 30 June 2015

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	30 June 2015 Kshs'000	30 June 2014 Kshs'000
Turnover	18,723,250	17,002,302
Operating profit	754,630	540,746
Other income	107,709	68,742
Finance costs	(40,242)	(26,003)
Foreign exchange losses	(186,402)	(15,750)
Profit before taxation	635,695	567,735
Taxation	(205,914)	(184,968)
Profit for the year from continuing operations	429,781	382,767
Profit for the year from discontinuing operations	192,085	91,727
Profit for the year	621,866	474,494
Attributable to:		
Owners	399,082	276,040
Non-controlling interest	222,784	198,454
	621,866	474,494
Basic and diluted earnings per share		
From continuing operations	Shs 3.70	Shs 3.03
From discontinuing operations	Shs 1.57	Shs 0.62
	Shs 5.27	Shs 3.65

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

FOR THE PERIOD ENDED	30 June 2015 Kshs'000	30 June 2014 Kshs'000
ASSETS		
Non-current assets	3,219,069	2,541,402
Current assets	5,452,719	4,934,209
Assets of disposal group classified as held-for-sale		550,967
Total Assets	8,671,788	8,026,578
EQUITY AND LIABILITIES		
Share capital	378,535	378,535
Reserves	4,976,744	4,308,708
Non-current liabilities	1,014,344	987,381
Current liabilities	2,302,165	2,172,392
Liabilities of disposal group classified as held-for-sale		179,562
Total Equity and Liabilities	8,671,788	8,026,578

CONSOLIDATED STATEMENT OF CASH FLOWS

FOR THE PERIOD ENDED	30 June 2015 Kshs'000	30 June 2014 Kshs'000
Operating profit before working capital changes	815,177	869,575
Changes in working capital	(146,925)	(164,916)
Net Cash Generated from operations	668,252	704,659
Tax paid	(162,802)	(235,169)
Net Cash from operating activities	505,450	469,490
Net Cash used in investing activities	(15,426)	(517,863)
Net Cash (used in)/from financing activities	(140,484)	276,658
Increase in cash & cash equivalents	349,540	228,285
At the start of the period	846,767	619,076
Effects of exchange rate changes	(3,602)	(594)
At the end of period	1,192,705	846,767

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

Year ended 30 June 2015	Equity attributable to equity holders Kshs'000	Non-controlling interest Kshs'000	Total Kshs'000
At start of year	3,053,535	1,633,708	4,687,243
Profit for the year	399,082	222,784	621,866
Other comprehensive income for the year	(6,488)	(3,493)	(9,981)
Total comprehensive income for the year	392,594	219,291	611,885
Dividend paid to shareholders	(56,780)		(56,780)
Dividend paid to non-controlling interests		(30,574)	(30,574)
Acquisition of subsidiary		327,262	327,262
Disposal of subsidiary		(183,757)	(183,757)
At end of year	3,389,349	1,965,930	5,355,279

COMMENTARY

Turnover increased by 10.1% and gross profit by 18.5% compared to prior year, reflecting overall volume growth and improved conversion efficiencies. Profit for the year increased by 31.1% to Shs 622 million (prior year Shs 474 million).

Both the Kenya and the Uganda Shilling depreciated significantly against the US Dollar, resulting in aggregate unrealised foreign exchange losses of Shs 133 million.

Maize grain availability improved compared to the prior year, with prices remaining relatively stable over the first three quarters of the year; scarcity in the closing months caused prices to increase, which has since been eased by regional inflows.

Imported wheat prices were favourable, bolstered by a bumper harvest in the regions serviced out of the Black Sea ports; the local wheat harvest was somewhat reduced over the prior year. Quality finger millet was in short supply throughout the year. During the year, the Group introduced an addition to its market leading Fast Gro® broiler feed range and advanced the introduction of the Amana® range of pulses. To improve efficiency and reduce cost in the in-bound supply chain, the Group has embarked on projects to rehabilitate the grain silo facilities at Commercial Street and increase grain storage capacity at its Eldoret plant.

The new route-to-consumer strategy implemented early in the year is gaining ground and facilitating improved product availability and consumer reach.

To support the group's business growth strategy, the Company has embarked on the implementation of a new, robust and integrated, business system (ERP) to enable improved productivity, reduced costs and higher revenues; the new ERP is scheduled to 'go live' in January 2016.

The group re-entered the bakery sector at the end of the financial year by acquiring a majority shareholding in Ennsvalley Bakery Limited through its subsidiary Unga Holdings Limited, which also completed the disposal of its shareholding in Bullpak Limited, a paper packaging company.

The Board is pleased to recommend the payment of a first and final dividend of Sh 1 per share, subject to approval by the shareholders at the Annual General Meeting to be held on 2 December 2015.

Subject to the shareholders' approval at the Annual General meeting, the Register of Members will be closed for one day from the close of business on 2 December 2015.

The dividend will be paid on or about 13 January 2016 to the shareholders registered in the books of the Company at the close of business on 2 December 2015.

By order of the Board

W Jumba
Company Secretary